

A CHANCE TO DO MY THING

In the spring of 1930 I made a change of employers. I only mention this because it triggered the events that were to cause the emergence of the investment philosophy that has guided me since that time. A regional brokerage firm came to me and made me a salary offer which, at age 22 and for that time and place, I found quite difficult to refuse. Furthermore, they offered me a vastly more appealing work assignment than the dissatisfying experience as a “statistician” in the investment banking arm of the bank. With no assigned duties whatsoever, I was to be free to devote my time to finding individual stocks which I thought were particularly suitable candidates for either purchase or sale because of their characteristics. I was then to write reports on my conclusions to circulate among the brokers employed by this firm to help them stimulate business that would be profitable for their clients.

This offer came to me just after Herbert Hoover had made his famous “Prosperity is just around the corner” statement. Several partners of the firm involved implicitly believed this. As a result of the 1929 crash, their total payroll had dropped from 125 employees to 75. They told me that if I accepted their offer, I would be number 76. I was just as bearish at the time as they were bullish. I felt sure the bear market was a long way from over. I told them that I would come on one condition. While they were free to fire me at any time if they did not like the quality of my work, lack of seniority must be no influence whatsoever if adverse financial markets forced them to make further reduction in payroll. They agreed to this provision.